

ADVICE

Cognitive dissonance does not in and of itself preordain biased decision making. The driving force behind most of the irrational behavior discussed is the tendency of individuals to adopt certain detrimental *responses* to cognitive dissonance in an effort to alleviate their mental discomfort. Therefore, the first step in overcoming the negative effects of cognitive dissonance is to recognize and to attempt to abandon such counterproductive coping techniques. People who can recognize this behavior become much better investors. Specifically, there are three common responses to cognitive dissonance that have potentially negative implications for personal finance and, consequently, should be avoided: (1) modifying beliefs, (2) modifying actions, and (3) modifying perceptions of relevant action(s). Each will be addressed in detail, following a brief overview. Advisors should take note of how these types of resolutions can affect investors.

Cognitive Dissonance: Common Coping Responses

People can and do recognize inconsistencies between actions and beliefs. When they act in ways that contradict their own beliefs, attitudes, or opinions, some natural “alarm” tends to alert them. For example, you believe that it is wrong to hit your dog; yet, somehow, if you find yourself engaged in the act of hitting your dog, you will register the inconsistency. This moment of recognition will generate cognitive dissonance, and the unease that you experience will motivate you to resolve the contradiction. You will be expected, usually, to try to reconcile your conflicting cognitions in one of three ways:

1. *Modifying beliefs.* Perhaps the easiest way to resolve dissonance between actions and beliefs is simply to alter the relevant beliefs. In the aforementioned incident, for example, you could just recategorize “hitting one’s dog” as a perfectly acceptable behavior. This would take care of any dissonance. When the principle in question is important to you, however, such a course of action becomes unlikely. People’s most basic beliefs tend to remain stable; they don’t just go around modifying their fundamental moral matrices on a day-to-day basis.

Investors, however, do sometimes opt for this path of least resistance when attempting to eliminate dissonance (although the belief-modification mechanism is the least common, in finance, of the three coping tactics